require increasingly greater percentage gains to get back to even. Platt, however, points out a far less obvious reason for avoiding losses: Losing trades mentally impede the trader and often result in missed winning trade opportunities. As Platt colorfully describes the trader's mindset after incurring a foolish loss, "You feel like an idiot, and you're not in the mood to put anything else on. Then the elephant walks past you while your gun's not loaded." Platt says that trading follows the 80/20 rule—80 percent of a trader's profits come from 20 percent of the trades. If the psychological fallout from a trading loss causes a trader to miss a trade in the 20 percent, it can be a big deal.

Platt pays a lot of attention to how the market responds to news. He cites the interesting observation of a trade in which there was a continuing stream of news items adverse to his position, and yet the market did not move against him. Platt read the inability of the market to respond to the news as confirmation of his trade idea, and he quadrupled his position, turning it into one of his biggest winners ever.

Although BlueCrest's systematic trend-following strategy is not in the same return/risk league as the discretionary strategy, it is nonetheless one of the best-performing trend-following strategies, achieving an average annual compounded net return of 16 percent with a maximum drawdown of under 13 percent. When queried about how the systematic trend-following strategy achieved its superior performance vis-à-vis other trend-following strategies, Platt mentioned two key factors. First, their system will liquidate positions when trends get overextended without waiting for trend reversal signals. Second, there is continuous ongoing research and implementation of changes to improve the system. System trading is a dynamic rather than static process. Platt believes that systems that don't change will eventually degrade. In Platt's words, system trading "is a research war."

[1] BlueCrest did not provide performance data statistics due to certain jurisdictions' private placement rules. Performance statistics were obtained from other reliable sources.

[2] A whipsaw market is one that swings back and forth repeatedly and abruptly in a wide trading range. These markets tend to trigger trend signals shortly before reversing direction, causing many trend-following systems to experience a succession of losses.